AT&T INC T S

August 03, 2026 - 3:09pm EST
by cuyler1903

			2026	2027
Price:	23.50	EPS	0	0
Shares Out. (in M):	6,850	P/E	0	0
Market Cap (in $M):	161,000	P/FCF	0	0
Net Debt (in $M):	165,000	EBIT	0	0
TEV (in $M):	326,000	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

I am flipping from bullish to bearish on shares of AT&T, as experience tells me that when my reasons for owning (imminent deleveraging and meaningful share repurchases, in this case) become moot, my view on the stock should change.

As I wrote to you in April 2024, I was previously long shares of T in large relative size. My investment thesis at the time centered on my view that "by reputation, AT&T is a dinosaur and a relatively unexciting company" but that the company's advancements in fiber internet (on the higher-priced, high-speed end) and fixed wireless access (on the budget-conscious, lower-speed end) was leading to market share gains and substantial pricing power, which I myself had experienced in double digit increases on my own AT&T bill. Further, I found management's shift to a focus on capital returns via debt retirement and (my previously predicted onset of) share repurchases to be very appealing.

My thesis began playing out quickly and the shares finally began to catch investors' eyes, as the stock appreciated from the low-to-mid teens to the $20s and eventually high $20s. While the financial results remained solid, my original thesis began to show cracks in critical areas that caused me agita, to use an old boss's favorite term. I recently decided to close my position completely, as I believe there are now significant headwinds to the company's business and, therefore, the shares. While I had hoped to hold this investment for many more years, management's actions prevented me from doing so.

Specifically, I am now bearish for the following reasons:

- Re-leveraging Transactions. AT&T management briefly achieved its 2.5x leverage target and immediately reversed course, prioritizing aggressive asset accumulation over sustained capital return. The company announced the acquisition of fiber assets from Lumen and a $23 billion transaction to acquire mid and low-band spectrum from EchoStar. AT&T's EchoStar purchase price represented an estimated $7 billion premium over the historical auction prices paid by DISH for that same spectrum. As a direct result of these transactions, AT&T's net debt-to-adjusted EBITDA ratio was projected by management to peak at approximately 3.2x following the EchoStar close. The company estimates a 36-month timeline simply to return to the 2.5x target range. Again, while I understand and appreciate high-ROI capex, this spectrum acquisition felt panicked, rushed and incredibly expensive, damaging my core thesis of a de-risked, growing and cash-flowing telecom utility.

- Erosion of Pricing Power and Space-Based Competition. My initial investment rationale identified pricing power as the single most critical characteristic of a successful business, evidenced previously by AT&T's ability to execute substantial mid-cycle bill increases. In the first quarter of 2026, AT&T reported that postpaid phone ARPU was flat year-over-year. Management attributed this to targeting value-conscious segments and offering convergence discounts, illustrating renewed competitive behavior with Verizon and T-Mobile. This loss of pricing power is structurally compounded by an expanding competitive landscape. The emergence of low Earth orbit satellite Internet introduces a new, potentially severe (eventually), and highly capitalized threat to the traditional terrestrial triopoly, creating doubt in my mind about the longevity of the company's cash flow stream and terminal value. SpaceX's Starlink and Amazon's Project Kuiper are actively developing direct-to-device cellular capabilities. While AT&T relies on a partnership with AST SpaceMobile, the reality is that the market is now facing infinite data capacity from space, and these satellites, given their proximity to Earth, deliver high speeds and much lower latency than prior satellite-based services. Management acknowledges that SpaceX and Amazon will possess robust direct-to-device capabilities. While telecom services remain somewhat sticky, I believe it is likely that AT&T's pricing power will prove to be permanently impaired at both the low and high ends of connectivity. Anyone who has followed the cable internet industry knows how destructive these dynamics can be.

- Macroeconomic Headwinds and Subscriber Growth Constraints. Obviously, the domestic wireless and broadband markets are already heavily penetrated. Consequently, aggregate industry subscriber growth relies disproportionately on net population expansion. The re-implementation of restrictive U.S. immigration policies under the Trump administration presents a mechanical headwind to net new market entrants. A contraction in immigration structurally reduces the total addressable market for new household formation and wireless line additions. In a stagnant population environment, the telecom sector degrades into a zero-sum battle for market share. This dynamic inevitably forces carriers to compete heavily on price and promotional subsidies to steal accounts from rivals, further pressuring revenues and cash flows.

I do not have a specific target price, but in the event that any of the above issues become reality, or if interest rates continue to rise, it does not seem like a stretch for the stock to return to levels in the low-to-mid teens where it was prior to my original long investment.

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Catalyst

- Missing on post-paid subscriber numbers.
- Competitive pressure resulting in pricing pressure.
- Slowing path to 2.5x leverage target.
- Increased progress by space-based competitors.

- Rising interest rates.

Messages

Subject Valuation?
Entry 08/03/2026 03:56 PM
Member SamPR

Are these numbers right:

- 4.7% dividend yield
- <8x P/E

It doesn't take much growth in earnings / dividends to make a 4.7% dividend yield an okay long position.

At this valuation, your points about competition (space-based on otherwise) would need to carry a lot of weight, I think. Is this really what the short is hinging on, and if so, how quickly do you expect cracks to emerge in the financials?

Subject D2D
Entry 08/03/2026 04:37 PM
Member yellow

Satellites are not a threat to cell coverage, they're definitely a threat for broadband

https://www.aethaconsulting.com/leo-satellites-and-terrestrial-networks-competitors-or-complements/

Capacity density of a satellite is severely constrained for mobile, it would require 2.5bn LEOs orbiting around earth (c60,000x what Starlink long term goal is) to match existing 4/5/6G terrestrial capacity density

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Subject Re: D2D
Entry 08/03/2026 05:44 PM
Member cuyler1903

Famous last words. I remember hearing that 5G would never compete with cable.

Subject Re: Re: D2D
Entry 08/03/2026 09:01 PM
Member Supersny

Read Musk and Amazon public statements.
They are coming for Mobile next.

Wouldn’t be suprised if a single digit dividend yield is on tap!

plus both can raise endless amounts of $ with hyperbolic promises

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Subject Re: Re: Re: D2D
Entry 08/04/2026 01:51 AM
Member yellow

Some quotes:

”We are not building a replacement for terrestrial mobile networks,” Michael Nicolls, senior vice president of Starlink engineering at SpaceX, said during the company’s Mobile World Congress keynote. He said the system was designed to extend carrier coverage into remote areas and maintain service when towers or backhaul links fail.”

“It's not a substitute for ground cell stations, because ground cell stations, especially in urban and suburban areas, will definitely be superior to what we're talking about here. This is really meant for places that don't have cell tower connectivity, because although it's like maybe two to four megabits capabilities—that's what the capability is for the entire cell... it really is, it's not a substitute for ground cell stations, because ground cell stations, especially in urban and suburban areas, will definitely be superior to what we're talking about here. This is really meant to provide basic coverage to areas that are currently completely dead.”

"5G is great for high density situations," Musk said, "but it's actually not great for the countryside, you know, for rural areas. It's not great; you need range. And so in any kind of sparse environment 5G is really not well suited. So Starlink will effectively serve the three or four percent hardest to reach customers for telcos, or people who simply have no connectivity right now. Or the connectivity is really bad. So I think it will be actually helpful and take a significant load off the traditional telcos," Musk said.”

I don't invest based on quotes though. It comes down to the following equation:

Capacity density (Mbps/sqkm) = Spectrum (MHz) * Spectral Efficiency (bps/Hz) * Number of Beams (N) / (Coverage Radius (km))2

You can plug in your own numbers.

A few cases:

Infrastructure	Frequency Band (MHz)	# of Satellites in Orbit	Spectrum (MHz)	Spectral Efficiency (bps/Hz)	Number of Beams	Coverage Radius (km)	Capacity Density (Mbps/sqkm)
Cell towers 4G	<3,000	N/A	10	1.5	3	5.0	0.57
Cell towers 5G	c3,500	N/A	75	5.5	3	1.0	393.91
Cell towers 6G	7-15,000	N/A	150	5.5	3	1.0	787.82
Starlink today	c2,000	650	10	2.0	8	499.8	0.000204
Starlink 2031	c2000	1,590	10	2.0	8	319.5	0.000499
Starlink LT goal	c2,000	42,000	10	2.0	8	62.2	0.013176
Starlink 6G match	c2,000	2,500,000,000	10	2.0	8	0.3	784.31

Hyperbolism collides with physics here. The two key issues satellites face when compared to terrestrial mobile networks are the frequency spectrum they need to use (lower than cell towers are signal degrades faster the further away you are and the higher the frequency it is, note higher frequency bands have more spectrum available by definition than lower ones), spectral efficiency (itself a function of frequency, with higher frequencies allowing for higher efficiency and vice versa) and coverage radius (satellite signal is a cone shape and the denominator grows exponentially). This combination of constraints is trickier than it looks given the correlation between frequency and spectral efficiency and the fact that radius goes in a quadratic denominator.

Not going against AT&T short though - the threat for fixed broadband is real. It could perfectly be the case - and it's actually my base case - that Starlink and Amazon end up renting terrestrial networks to compete with telco incumbents across all services.

Subject how does this present in data?
Entry 08/04/2026 05:41 AM
Member Motherlode

T and most telco stocks are down 10-25% on the perceived risk associated with LEO. do we need evidence of the impact to see further declines?

if so, how does starlink hit numbers? I see most initial starlink subs as people who want service where they can't get it. so it doesn't really hit existing business. or subs are people who want a redundant service as they are in remote locations frequently. Fiber/cable is a better product than satellite? i see that most new subs come from really poor dsl, other satellite (hughes) and 20% come from cable. of note, 50% of the people churning go back to cable.

- rural fiber buildouts have lower than expected uptake? or perhaps pricing isn't as strong on these issues as starlink is a threat.

- rural/suburban hh churn to starlink? Fiber is a better product? i don't see much of this.

i am just wondering if the impact is limited for the foreseeable future. if so, do we see a bounce? the threat is real and over time it probably matters in rural locations, especially if the receiver improves. I like the short idea as an added new threat and for reasons mentioned. just wondering if the starlink short is baked in and that might be slightly over done. if so, t bounces as spcx based shorts move on.

Subject Re: Re: Re: Re: D2D
Entry 08/04/2026 11:36 AM
Member cuyler1903

As you can read, my thesis is not solely based on Starlink. There are lots of things that have been going very right in the last couple of years that seem to be reversing.

Plus, the consumer broadly appears to be very challenged right now, which is not great for net adds or pricing.

Whatever, I'm not actually short the stock, as I almost never short anything. I am bearish on this one though.

Subject	Re: Re: Re: Re: Re: D2D
Entry	08/04/2026 12:23 PM
Member	Motherlode

hmm... i think its a decent idea. hard to see it going up a lot on the leo + your other concerns. just wondering if we need a real break in data to get paid after this small decline which I SUSPECT is LEO related.